

Advertisements in Contract Law

Legal English Study Guide | English law

An advertisement usually invites customers to make an offer. It does not usually give every reader the power to create a contract simply by saying yes. However, a clear and serious reward promise can be an offer that a person accepts by carrying out the requested act.

Learning goals: Distinguish an offer from an invitation to treat; explain why ordinary advertisements usually fall into the second category; recognise a unilateral offer; explain the outcomes of the leading cases.

1 Three kinds of statement

Statement	Plain English meaning	Simple example
Offer	A definite proposal showing willingness to be bound if accepted.	I will sell you this bicycle for £80. Tell me by Friday.
Invitation to treat	An invitation for someone else to make an offer.	A newspaper advertisement listing bicycles and prices.
Mere puff	An exaggerated sales claim that a reasonable reader would not understand as a contractual promise.	The greatest bicycle in the universe.

The legal meaning of **offer** is narrower than its everyday meaning. A shop may call a promotion a special offer, although it is legally an invitation to treat. The word **treat** here refers to dealing or negotiating, not a gift or medical treatment.

2 Why ordinary advertisements are usually invitations

A seller may have limited stock. If every reader could accept the advertisement immediately, the seller might become bound to supply more goods than it has. The seller normally keeps the opportunity to consider orders before accepting them.

Example: A shop advertises ten dictionaries at £15 each. Mei asks to buy one. The advertisement normally invites her offer; her request does not by itself establish that the shop has accepted. A price alone does not automatically turn an advertisement into an offer.

Scope: This guide explains the traditional English rules of contract formation. These rules do not make every advertisement or sale lawful; separate legislation may also apply.

Displays and ordinary advertisements

3 The shop example from Boots

In *Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd* [1953] 1 QB 401, goods on self-service shelves were invitations to treat. The customer made an offer at the checkout; the shop could then accept under a pharmacist's supervision. **Outcome:** Boots won. The display did not itself complete a sale.

4 Fisher v Bell

Case: *Fisher v Bell* [1961] 1 QB 394.

Facts: A shopkeeper displayed a flick knife in a shop window with a price. The prosecution argued that this amounted to offering the knife for sale under the Restriction of Offensive Weapons Act 1959.

Issue: Was the priced display an offer for sale in the relevant legal sense?

Decision: The court treated the display as an invitation to treat. It was not an offer that a customer could accept to create a contract.

Outcome: The shopkeeper was not guilty of the charged offence on that basis. The prosecution's appeal was dismissed. This was a decision about the wording of the legislation, not permission to carry out any transaction involving knives.

Lesson: Putting a price beside an item in a window does not, by itself, make the display a contractual offer.

5 Partridge v Crittenden

Case: *Partridge v Crittenden* [1968] 1 WLR 1204.

Facts: Partridge placed a classified advertisement for bramblefinches at 25 shillings each. He was convicted of unlawfully offering a protected wild bird for sale under the Protection of Birds Act 1954.

Issue: Did the advertisement itself constitute an offer for sale?

Decision: It was an invitation to treat. Ordinary advertisements generally invite customers to make offers, partly because a seller's stock may be limited.

Outcome: Partridge's appeal succeeded and his conviction was quashed, meaning it was cancelled. The court did not decide that all sales of protected birds were lawful.

Connection: These cases arose from criminal legislation, but their reasoning uses the contract-law distinction between an offer and an invitation to treat.

When an advertisement is an offer

6 Carlill v Carbolic Smoke Ball Co

Case: Carlill v Carbolic Smoke Ball Co [1893] 1 QB 256. The Court of Appeal decided the case in 1892; 1893 is the law-report year.

Facts: The company advertised a £100 reward for anyone who contracted influenza after using its smoke ball three times daily for two weeks as directed. The advertisement stated that £1,000 had been deposited in a bank to show sincerity. Mrs Carlill used the product as directed and still caught influenza.

Issue: Was this merely advertising exaggeration, or an enforceable promise?

Decision: It was a unilateral offer. The stated reward and conditions were sufficiently definite, and the bank deposit showed seriousness. Performance of the requested conditions constituted acceptance; advance notice of acceptance was not required. The requested use also supplied consideration.

Outcome: Mrs Carlill won and was entitled to £100. The company's appeal was dismissed.

Lesson: An advertisement can contain a binding reward promise. The promise must be interpreted from its words and context.

7 What unilateral means

A **unilateral contract** involves a promise in exchange for an act. The person invited to act does not promise to act; they accept in the way specified by the offer, normally through completing the requested performance. Unilateral does not mean that a completed contract has only one party.

A **bilateral contract** involves an exchange of promises. For example, a buyer promises to pay £80 and a seller promises to deliver a bicycle. Negotiation is not essential, and unilateral offers need not be addressed to the whole public.

Reward example: You read a notice promising £100 to anyone who returns the owner's missing cat. You return the cat in response to the notice and satisfy its terms. This is a typical example of acceptance through performance. Merely saying that you will look for the cat does not normally earn the reward.

8 A practical method

Ask four questions:

1. What exactly does the advertisement say?
2. Would a reasonable reader see a definite commitment, or an invitation to make an offer?
3. Are the requested act and promised benefit clear?
4. If there is an offer, has the person accepted in the required way?

An offer and acceptance are parts of contract formation. Other requirements, including consideration and intention to create legal relations, must also be satisfied.

Vocabulary and practice

9 Key Legal English terms

Term	Meaning
Offer	A definite proposal intended to be binding if accepted.
Invitation to treat	An invitation for another person to make an offer.
Acceptance	Agreement to an offer in the legally required way.
Unilateral contract	A promise exchanged for performance of an act.
Consideration	Something of value given or promised in exchange; in a unilateral contract, the requested act can supply it.
Intention to create legal relations	An intention that an agreement should have legal consequences.
Mere puff	Sales exaggeration that is not reasonably understood as a contractual promise.

10 Check your understanding

1. A shop window displays a bag with a £40 price tag. Is this normally an offer or an invitation to treat? Explain.
2. Why does limited stock help explain the rule for ordinary advertisements?
3. A notice promises £50 to anyone who returns a lost student card. Jun reads it and returns the card as requested. What kind of contract may arise?
4. Why did the bank deposit matter in *Carlill*, and how much was it?
5. True or false: Every advertisement is an invitation to treat.

Suggested answers

1. Normally an invitation to treat. Display and price alone do not show a commitment to be bound by every customer's acceptance. **2.** A seller might otherwise become bound to supply more goods than it has. **3.** A unilateral contract: the requested return can accept the reward offer. **4.** It supported the seriousness of the promise. The deposit was £1,000; the reward was £100. **5.** False. A sufficiently definite and serious reward advertisement can be an offer.

Remember: Classify the statement before discussing acceptance. Explain the wording and context, rather than assuming that the label advertisement decides the answer.

Sources and further reading

Source lesson: Advertisements Contract Law, supplied transcript. The guide corrects transcription errors and reorganises the lesson for study.

Boots [1953] 1 QB 401; *Fisher v Bell* [1961] 1 QB 394; *Partridge v Crittenden* [1968] 1 WLR 1204; *Carlill* [1893] 1 QB 256.

Judgment texts: [Carlill](#); [Partridge law report](#); [Fisher judgment reproduced](#).